

NAB Lending Policy and Risk Guidance (Sample)

1. Credit Score Policy

The minimum acceptable credit score for new lending approval is 620. Applicants below 620 must be referred to senior credit for manual review.

2. Loan-to-Value Ratio

The maximum loan-to-value ratio (LVR) permitted without lenders mortgage insurance is 80 percent. Applications exceeding 90 percent LVR must not exceed a total exposure of 2 million dollars per customer.

3. Debt Service Ratio

The debt service ratio (DSR) must not exceed 35 percent of gross monthly income for standard approval.

4. Arrears and Delinquency

Accounts that are 30 days delinquent must be flagged for proactive contact. Accounts 90 days or more delinquent are classified as default and escalated to collections immediately.

5. Industry Concentration

Single-industry sector exposure should not exceed 25 percent of total portfolio balance. Exceptions require Credit Risk Committee approval.

6. Watchlist and Provisioning

Customers exhibiting two or more risk indicators must be placed on the watchlist. Provisioning levels are reviewed quarterly against arrears and default trends.

7. Collateral Requirements

All secured lending above 500,000 dollars requires an independent valuation no older than 12 months.